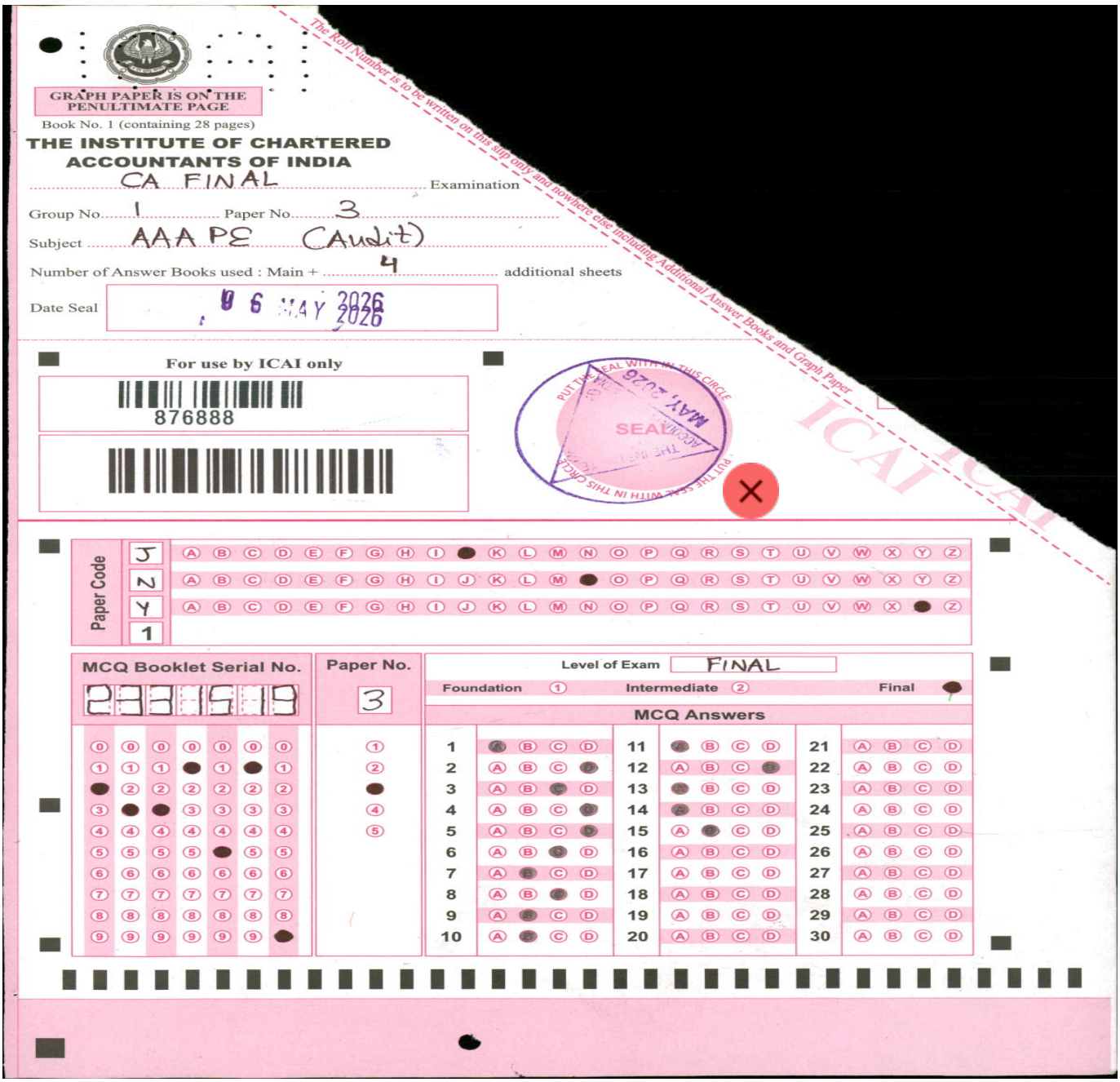
# The Institute of Chartered Accountants of India

**Code:** FN3AP876888 **Total Marks:** 70

**Subject :** 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 50



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 1 Paper No. 3

Subject AAA PE (Audit)

Number of Answer Books used : Main + 4 additional sheets

Date Seal 06 MAY 2026

The Roll Number is to be written on this sup only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

876888

Paper Code: JNY1

MCQ Booklet Serial No. 2315319

Paper No. 3

Level of Exam FINAL

Foundation ① Intermediate ② Final ●

MCQ Answers

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| 1 | B | 11 | B | 21 | |
| 2 | C | 12 | C | 22 | |
| 3 | D | 13 | A | 23 | |
| 4 | C | 14 | A | 24 | |
| 5 | D | 15 | B | 25 | |
| 6 | D | 16 | A | 26 | |
| 7 | B | 17 | A | 27 | |
| 8 | D | 18 | A | 28 | |
| 9 | B | 19 | A | 29 | |
| 10 | B | 20 | A | 30 | |

# The Institute of Chartered Accountants of India

**Code:** FN3AP876888 **Total Marks:** 70

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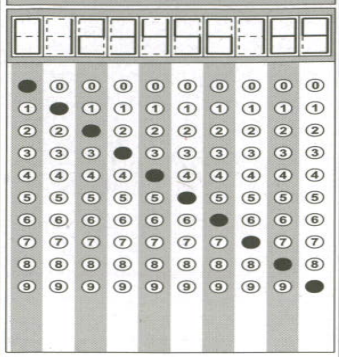
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sus", "786", etc., will tantamount to adoption of "unfair means"

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**Illustration for Filling the MCQ Booklet Serial No.**



## RUCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

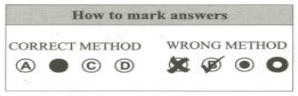
ly **H.B. Pencil to Darken the appropriate Circle.**

e and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

n case any candidate fills in this information wrongly, Institute will not take any responsibi rectifying the mistake.

3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

**How to mark answers**




| Q. No. | To be ticked ✓ by the candidate against the Questions answered ( Descriptive Type ) | | |
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| 4 | | 11 | |
| 5 | | 12 | |
| 6 | | 13 | |
| 7 | | 14 | |
| Total | | Total | |

03

Answer 6a

As per [SAE 3400], Prospective financial information, Following points need to be kept while determining Nature, Timing & Extent of Examination Procedures while performing the engagement :

- Likelihood of Material Misstatement
- Stability of business of the entity
- Management competance in preparation of prospective financial information
- The level of Management Judgement involved in the preparation of information & the assumptions
- Engagement team's Knowledge of the previous engagements
- Engagement team's Experience of the relevant Industry & the business
- Source of information used to prepare

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the prospective financial information

In the given case, CA Madhu is required to consider the above factors while performing the engagement since

6aStep1 ✓
5 Marks

→ Management has less competence in the said case

→ The information is dependent on hypothetical assumption.

CA Madhu should evaluate that the assumptions are not unrealistic & are consistent with the purpose of the information

→ Management reliance on the source of information i.e. Budetary data

6a ✓
5 Marks

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05

## Answer 6 b

Key considerations that has to be taken into account while evaluating the fixed Asset item shown in the Balance Sheet of QRT Electricals Ltd.

(i) **Additions**
The additions to the fixed assets should be verified in detail so that the additions made met the criteria for capitalization

(ii) **Charges or Mortgages**
Where the fixed assets are charged against by the entity for funds, the Investigator shall verify the same & understand the terms & conditions.

(iii) **Revaluation**
Where the fixed assets are revalued recently the same should be verified that they have been done correctly & accounted as per standards.

(iv) Replacement or Maintenance cost
The cost of repairing & other expenses should be considered by the investigator that entity well incur.

(v) Idle capacity
Investigator should evaluate the capacity utilization of the fixed asset to determine the underutilized capacity

(vi) Impairment or deletions
Where there are indicators for impairment, the same shall be done as per Applicable Standards.
Deletions were authorized by the personnel

(vii) Physical verification or Title deeds
The Investigor can physically verify the fixed asset to check the existence & condition.
Title deeds can be verified to check the legal title of the fixed asset.

6bStep1 2 Marks
6b 2 Marks

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07

Answer 6c

Alternative - 2

Performance Audit

# Efficiency

It means input - output ratio.

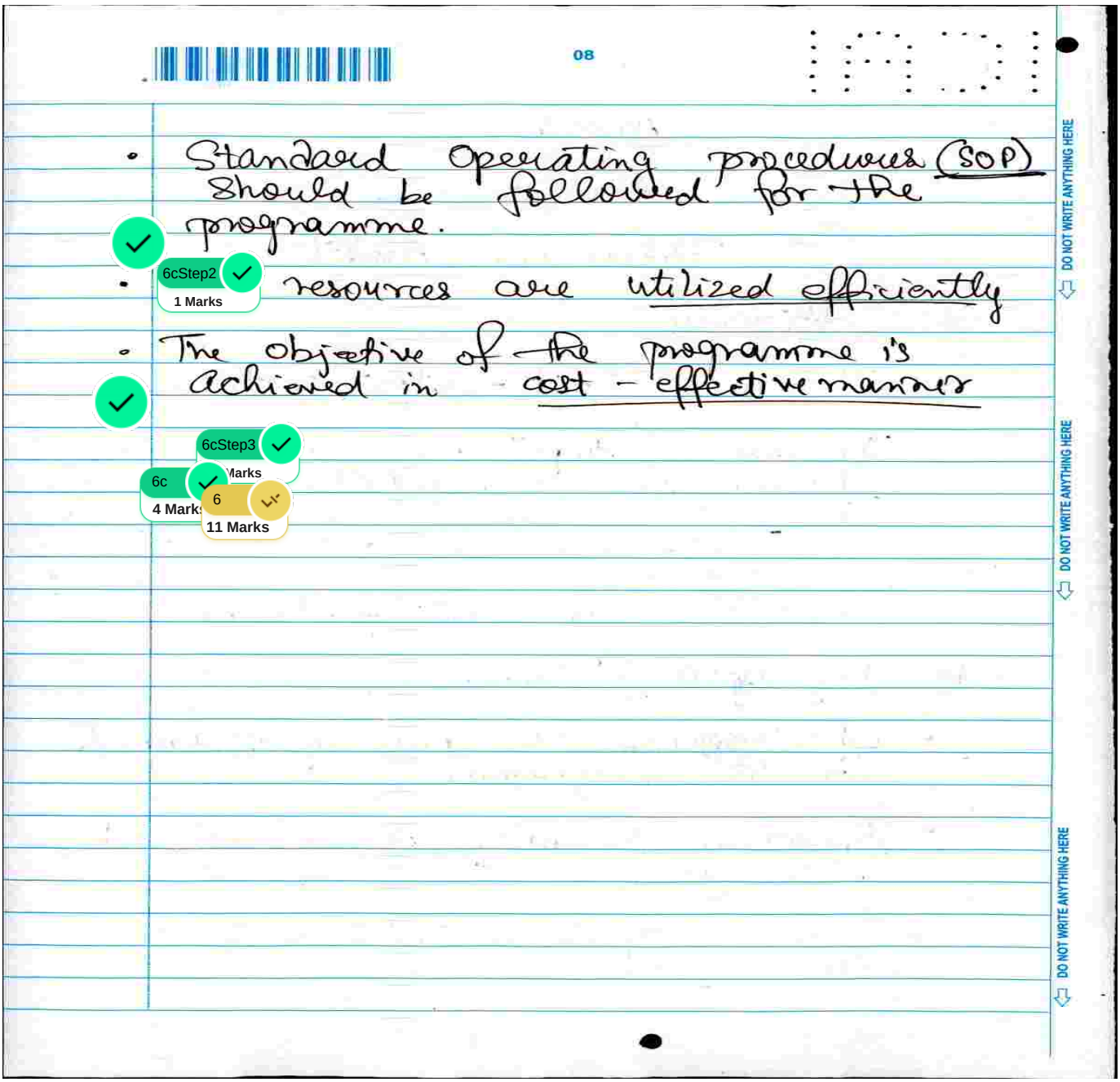
The level of input required for the desired level of output.
The input should be minimized for the said level of output or the output should be maximized for the given level of inputs

→ Key aspects for efficiency

- The Resources are properly planned for the programme.
- Resources are properly protected by the entity.
- There is Optimum utilization of the said resources.

6cStep1
2 Marks

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08

- Standard Operating procedures (SOP) should be followed for the programme.
- resources are utilized efficiently
- The objective of the programme is achieved in cost - effective manner

6cStep2 1 Marks

6cStep3 Marks

6c 4 Mark

6 11 Marks

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09

## Answer 5a

As per [Sec 143] of the Companies Act 2013, where the auditor of the company identifies fraud committed on the company by officer or employee of the company and the amount involved is less than 1 cr, auditor shall communicate the same to the Management (i.e. Board of Directors) as follows:

5aStep1 ✓ 1 Marks

→ Nature of fraud committed

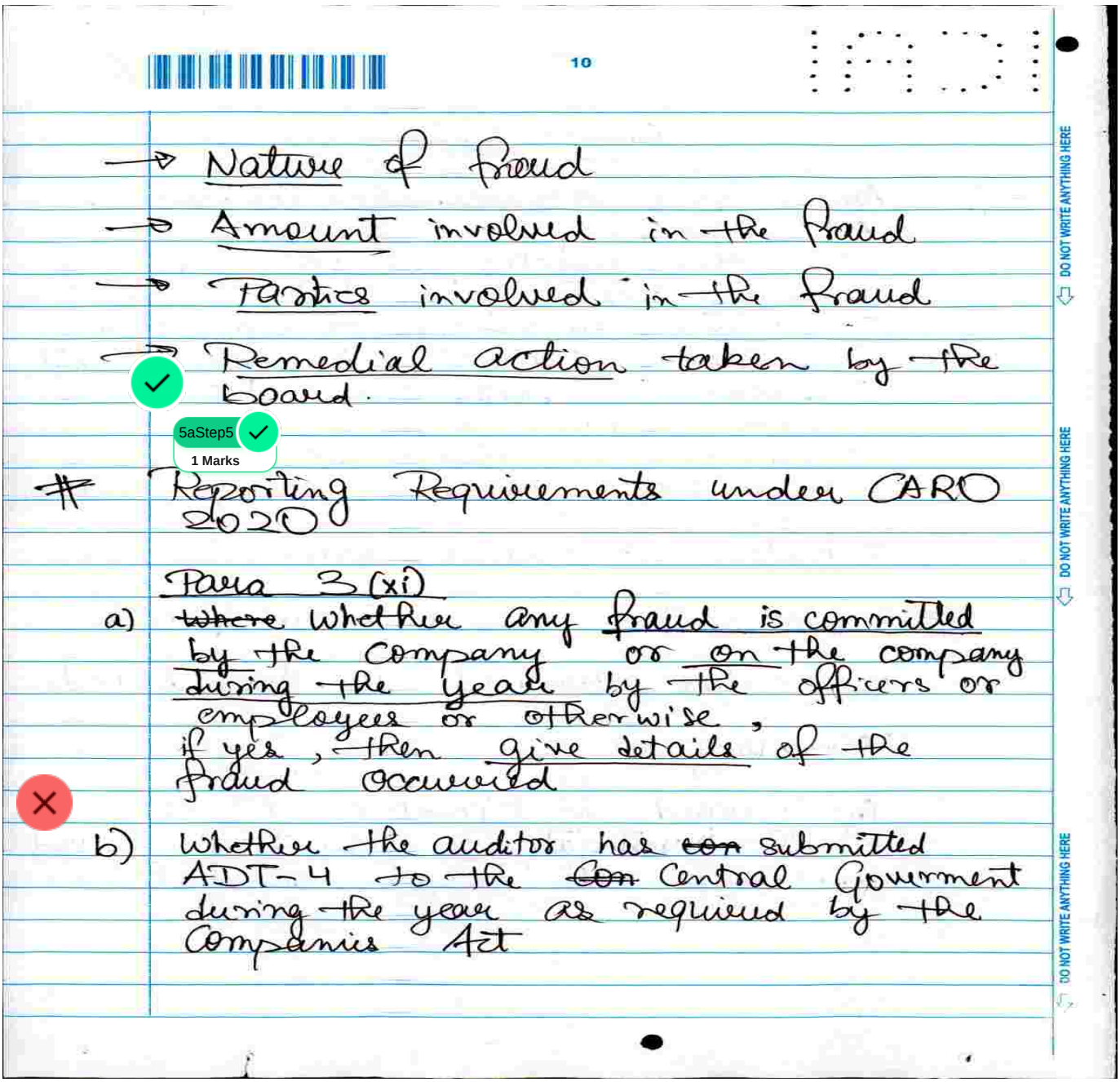
→ Amount involved in the fraud

✓ 5aStep2 ✓ 1 Marks → Parties involved in the fraud

~~Reporting of~~

5aStep3 ✗ 0 Marks e Board of Directors (BOD) shall investigate & report the fraud in the Board Report as follows:

DO NOT WRITE ANYTHING HERE



10

→ Nature of fraud
→ Amount involved in the fraud
→ Parties involved in the fraud
→ Remedial action taken by the board.

5aStep5
1 Marks

# Reporting Requirements under CARO 2020

Para 3 (xi)

a) ~~Where~~ Whether any fraud is committed by the company or on the company during the year by the officers or employees or otherwise, if yes, then give details of the fraud occurred

b) Whether the auditor has ~~con~~ submitted ADT-4 to the ~~Com~~ Central Government during the year as required by the Companies Act

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11

In the given case, CA Vasu has identified a serious discrepancy involving misappropriation of funds amounting to ₹75 lakhs perpetrated by the Senior accountant.
The amount is immaterial in context of Company's turnover of ~~₹~~ 800 cr

5aStep4 ✗
0 Marks

Since the amount involved is less than ₹1 cr, therefore, CA Vasu is required to report to BOD about the fraud in the above manner stated.

Further, CA Vasu is required to report the same under Para 3(xi) of CARO, 2020.
However, communication to Central Government is not required

The Board of Directors shall report the fraud in the Board's Report in the above manner stated.

5a ✓
3 Marks

## Answer Q5 b

(i) Periodic Traking of unresolved issued identified by Internal auditor

Internal auditor is responsible for Periodic Tracking of the unresolved Issues of Prior periods.

5bStep1 ✓
1 Marks

rnal auditor shall
→ ~~Eso~~ Monitor the prior period issues
→ Evaluate the corrective actions ~~taken~~ by Management
→ Report the unresolved issues

The implementation of actual requirement to correct vests on the mangement

The Internal auditor is required to monitor the issues through formal process laid by the Audit Committee & agreed.

CA Suba Should monitor the progress & perform as per above stated manner.

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13

(ii) 5bStep2 1 Marks ion Taken Report

CA Suba Shall ~~Go~~ submit action taken report to Audit Committee in the above situation & the key matters covered in the report are as follows:

→ Reference to the previous report and issues identified.

→ Management action agreed in the report

→ Status of the issues (action taken / progress)

→ Residual Risk & the ~~unimpl~~ Unimplemented actions

→ Issued unimplemented for long time & require immediate attention

5bStep3 3 Marks

→ other important issues required to be reported.

DO NOT WRITE ANYTHING HERE

CA Suba shall submit the above report & perform the above stated procedures.

She should bring the unresolved matters in attention of the Audit committee

5b
5 Marks

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15

## Answer 5C

Second Schedule
Part I

A member of Institute shall be guilty of profession misconduct, being member in practice, if

clause (7).
he does not exercise due diligence or is grossly negligent in discharging his duties.

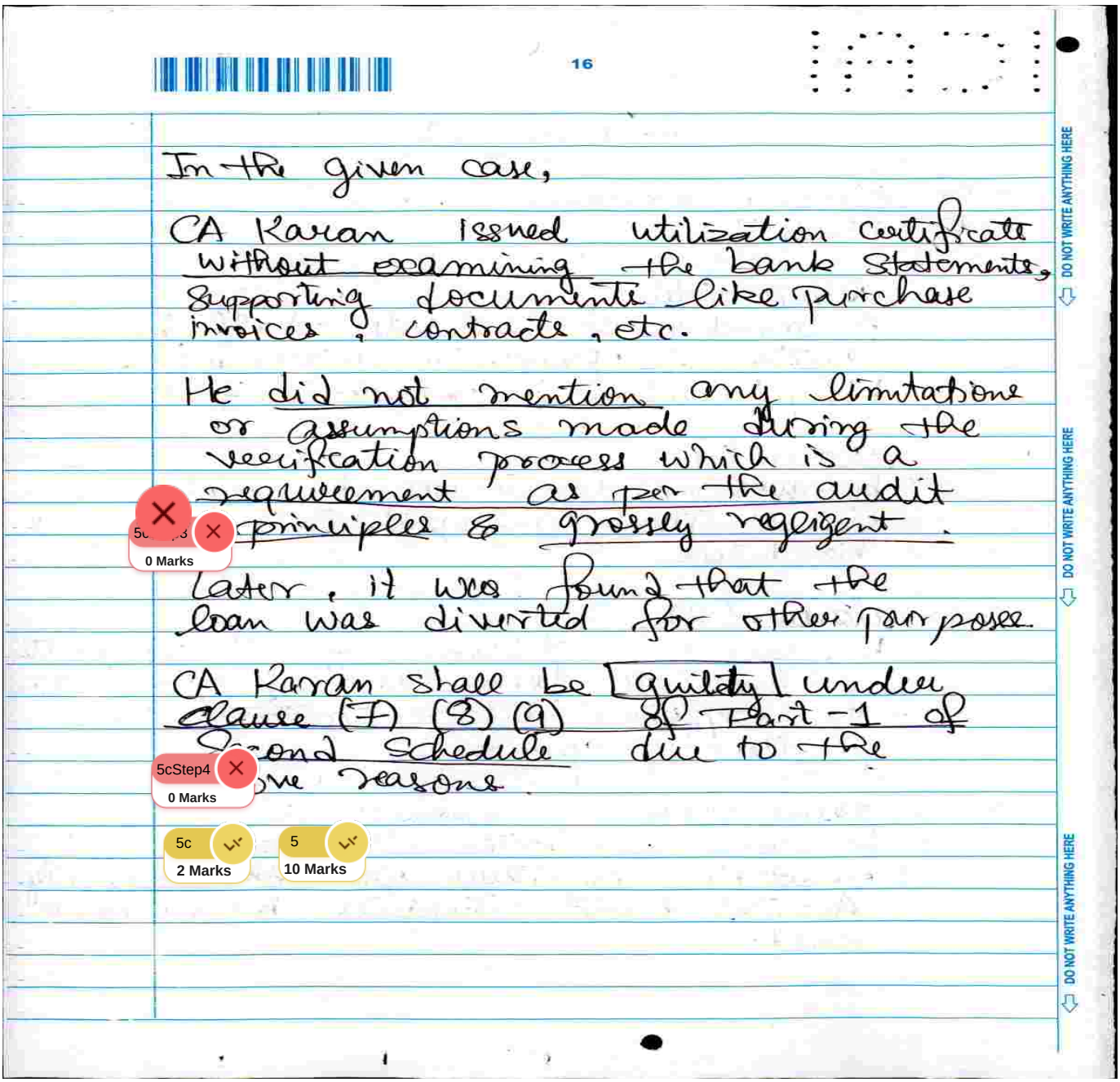
5cStep1 ✓ Marks

clause (8)
he fails to obtain sufficient appropriate evidence to form basis of opinion or the exceptions are so material to negate the opinion.

5cStep2 ✓ 1 Marks

clause (9)
he fails to invite attention to material departure from the Generally Accepted Audit Principles in the report issued.

DO NOT WRITE ANYTHING HERE



16

In the given case,

CA Karan issued utilization certificate without examining the bank statements, supporting documents like purchase invoices, contracts, etc.

He did not mention any limitations or assumptions made during the verification process which is a requirement as per the audit principles & grossly negligent.

Later, it was found that the loan was diverted for other purposes.

CA Karan shall be [guilty] under clause (7) (8) (9) of Part-1 of Second Schedule due to the above reasons.

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5c ...3 — 0 Marks

5cStep4 — 0 Marks

5c — 2 Marks

5 — 10 Marks

17

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## Answer 4 a

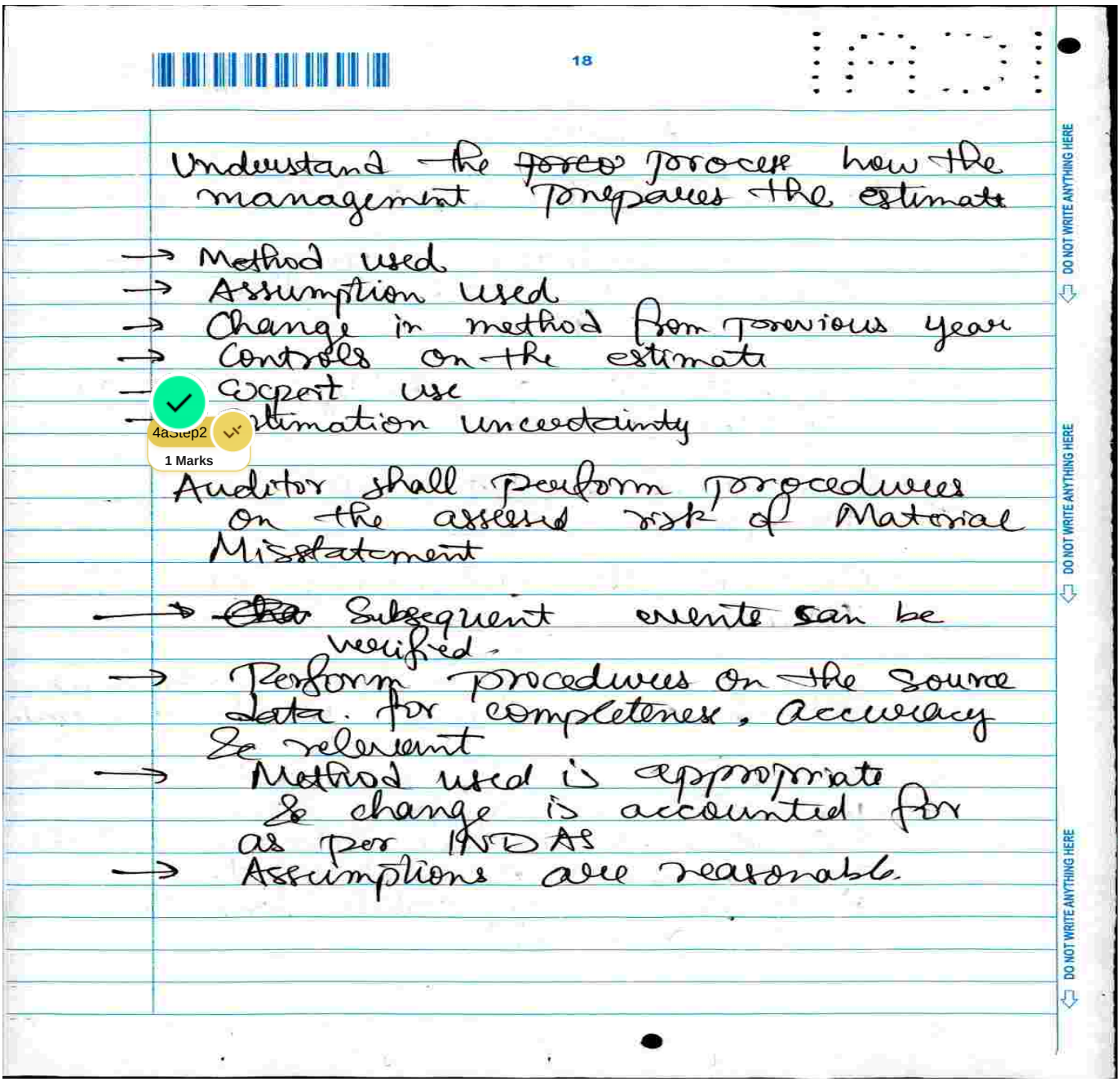
As per [SA 500], Audit Evidence where the auditor is relying on the management work, he shall verify the below:

- Evaluate the capability & competance of the person
- Understand the previous work of the person
- Evaluate the adequacy of the work

4aStep1 ✓
2 Marks

- Consider the objectivity & Independence of the management work performed.

As per [SA 540], Accounting estimates where there is significant accounting estimate in the financial statements, the auditor shall evaluate whether it is as per applicable financial reporting framework



18

Understand the ~~process~~ process how the management prepares the estimate

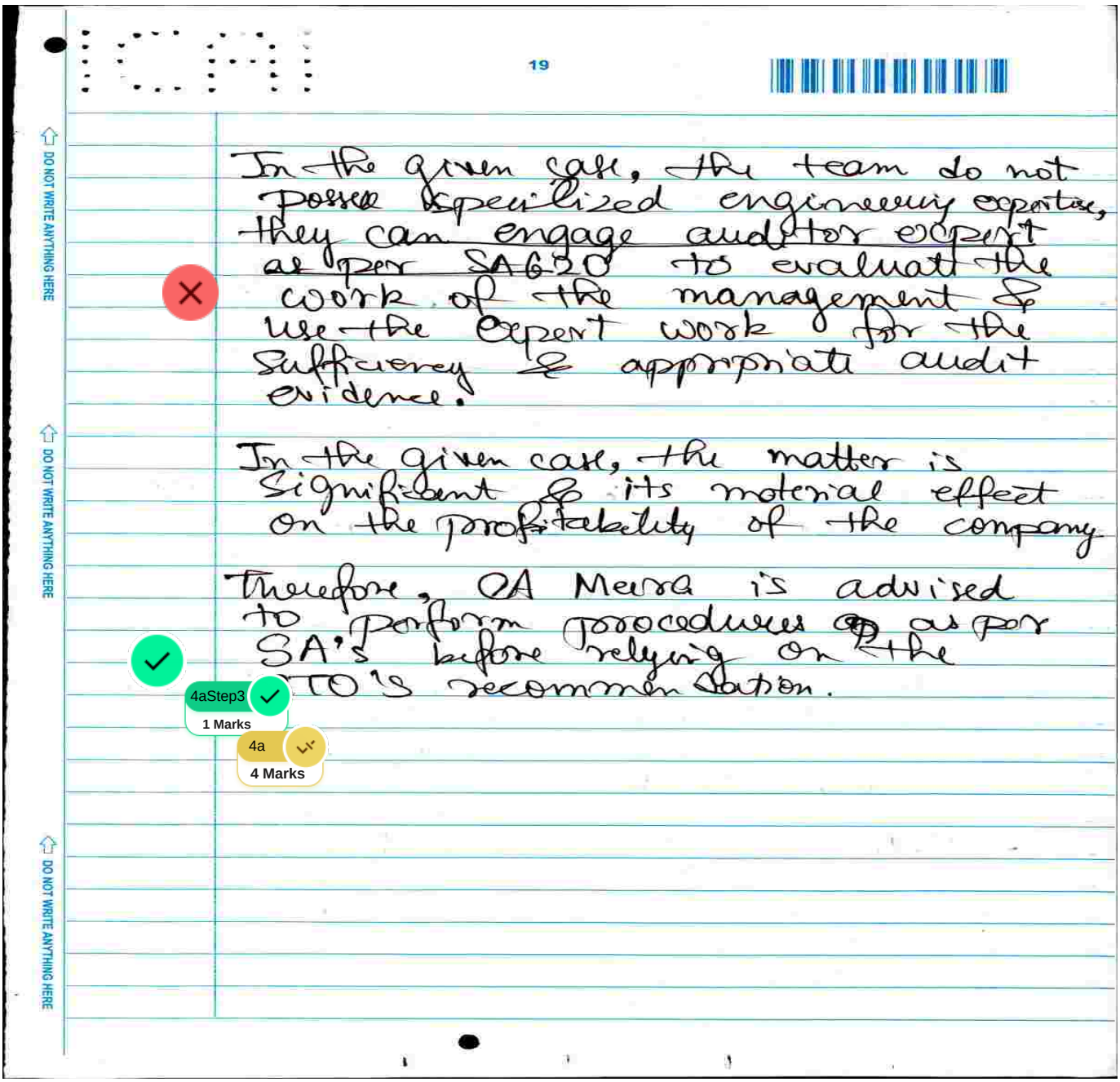
→ Method used
→ Assumption used
→ Change in method from previous year
→ Controls on the estimate
→ Expert use
→ Estimation uncertainty

4a3step2
1 Marks

Auditor shall perform procedures on the assessed risk of Material Misstatement

→ ~~Also~~ Subsequent events can be verified.
→ Perform procedures on the source data. for completeness, accuracy & relevant
→ Method used is appropriate & change is accounted for as per IND AS
→ Assumptions are reasonable.

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19

In the given case, the team do not possess specialized engineering expertise, they can engage auditor expert as per SA620 to evaluate the work of the management & use the expert work for the sufficiency & appropriate audit evidence.

In the given case, the matter is significant & its material effect on the profitability of the company.

Therefore, CA Meera is advised to perform procedures as per SA's before relying on the CTO's recommendation.

4aStep3 ✓
1 Marks

4a
4 Marks

DO NOT WRITE ANYTHING HERE

## Answer 4(b)

As per [SRE 2400], the practitioner shall perform below stated procedures in case of Management's refusal to provide written representation:

→ Discuss with the Management about the same.

→ Revaluate the integrity of the Management in light of the other audit evidence & the procedurees

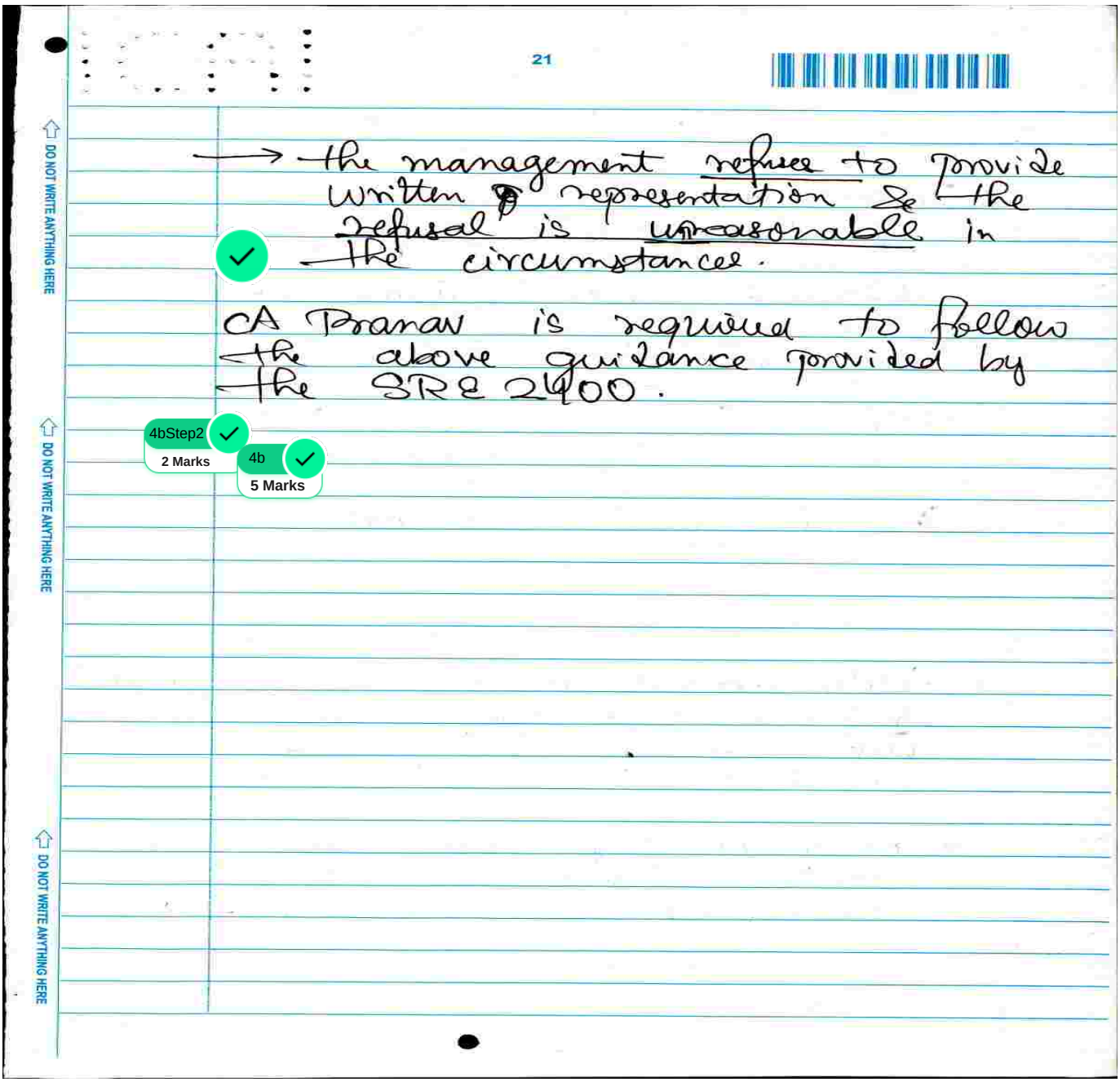
4bStep1 ✓
3 Marks

→ appropriate action required in the given circumstances.

Circumstances under which CA Pranav would be required to disclaim a conclusion or withdraw from the engagement if

→ the practitioner has doubt over the reliability of the management representation & the representations are unreliable in the circumstances.

DO NOT WRITE ANYTHING HERE



21

→ the management refuses to provide written representation & the refusal is unreasonable in the circumstances.

CA Pranav is required to follow the above guidance provided by the SRE 2400.

4bStep2 ✓ 2 Marks

4b ✓ 5 Marks

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## Answer 4C

In the given case, the company is generating waste & others which is being disposed of in landfills without proper treatment & also contributing significantly to carbon emissions.

4cStep1
1 Marks

**Principle 6 : Protection & Restoration of Environment**

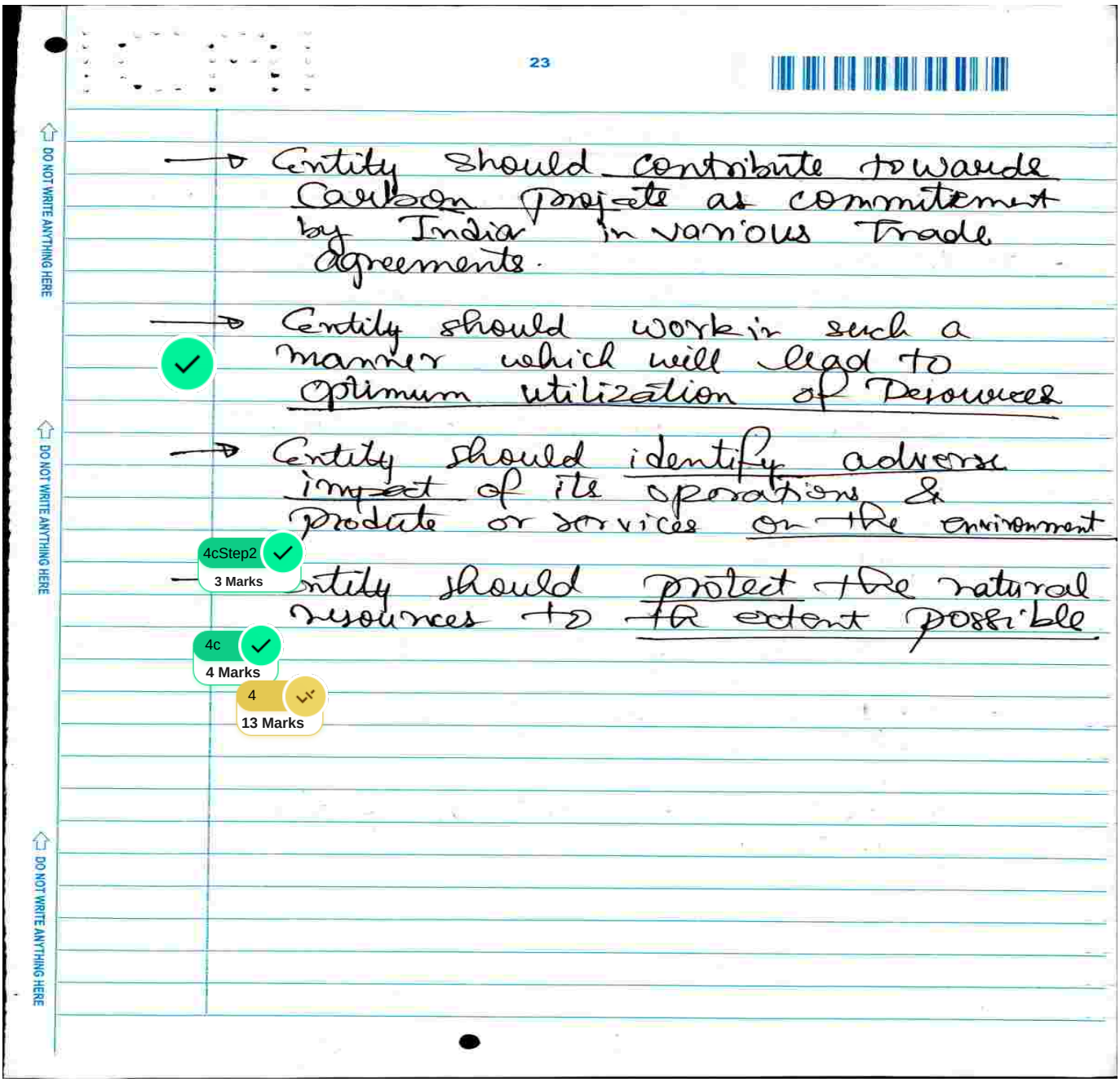
The entity should contribute to the environment in responsible manner

**Core Elements**

→ Entity should measure its performance in terms of energy consumption, wastages done, other metrics related to environment.

→ Entity should compare its performance with Industry best practices related to recycle, reuse & reduce.

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23

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→ Entity should contribute towards Carbon projects as commitment by India in various Trade agreements.

→ Entity should work in such a manner which will lead to optimum utilization of resources

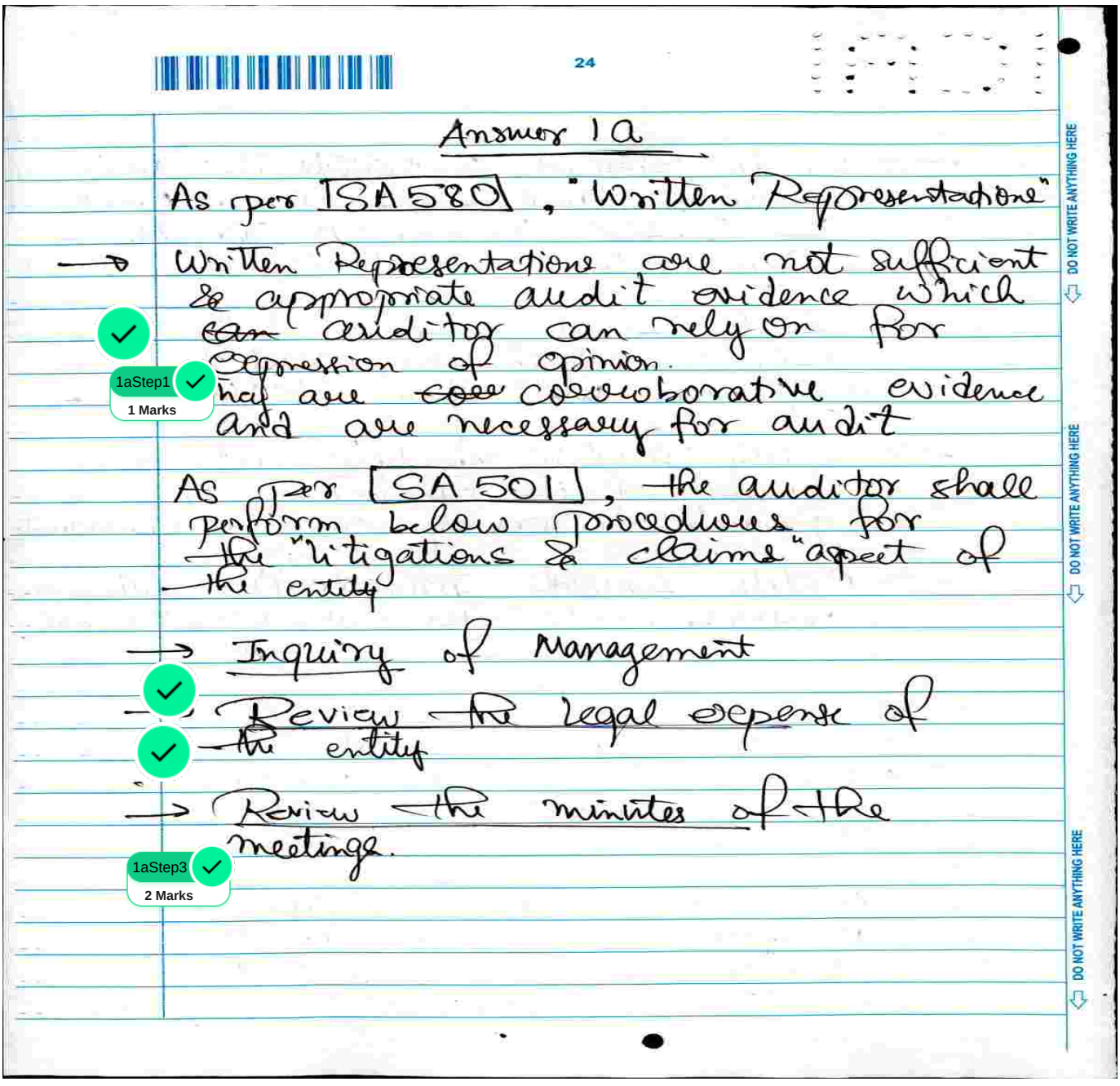
→ Entity should identify adverse impact of its operations & products or services on the environment

→ Entity should protect the natural resources to the extent possible

4cStep2 ✓ 3 Marks

4c ✓ 4 Marks

4 ✓ 13 Marks



24

Answer 1a

As per [SA 580], "Written Representations"

→ Written Representations are not sufficient & appropriate audit evidence which auditor can rely on for expression of opinion. ~~but~~ are corroborative evidence and are necessary for audit

As per [SA 501], the auditor shall perform below procedures for the "litigations & claims" aspect of the entity

→ Inquiry of Management

→ Review the legal expense of the entity

→ Review the minutes of the meetings.

1aStep1 1 Marks

1aStep3 2 Marks

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In case where the circumstances require, the auditor shall send the "specific level of Inquiry" letter to the entity's Legal counsel for the matter.

In the given case, there was an issue on the Ligitation aspect & the auditor insisted on sending the letter of Direct Inquiry which the Management refused to send citing confidentiality clauses.
Instead, they offered to provide a comprehensive written representation confirming that no material litigations are pending & non-availability of Direct confirmation from Legal Counsel.

1aStep2
0 Marks

As per Standards on Auditing, the Management's written representation is not sufficient in place of legal confirmation.

CA Rukma has to follow [SA 501] procedures over the matter as written representation is not sufficient & appropriate audit

Evidence to base the audit opinion.

# Additional procedures in case the legal confirmation is denied :

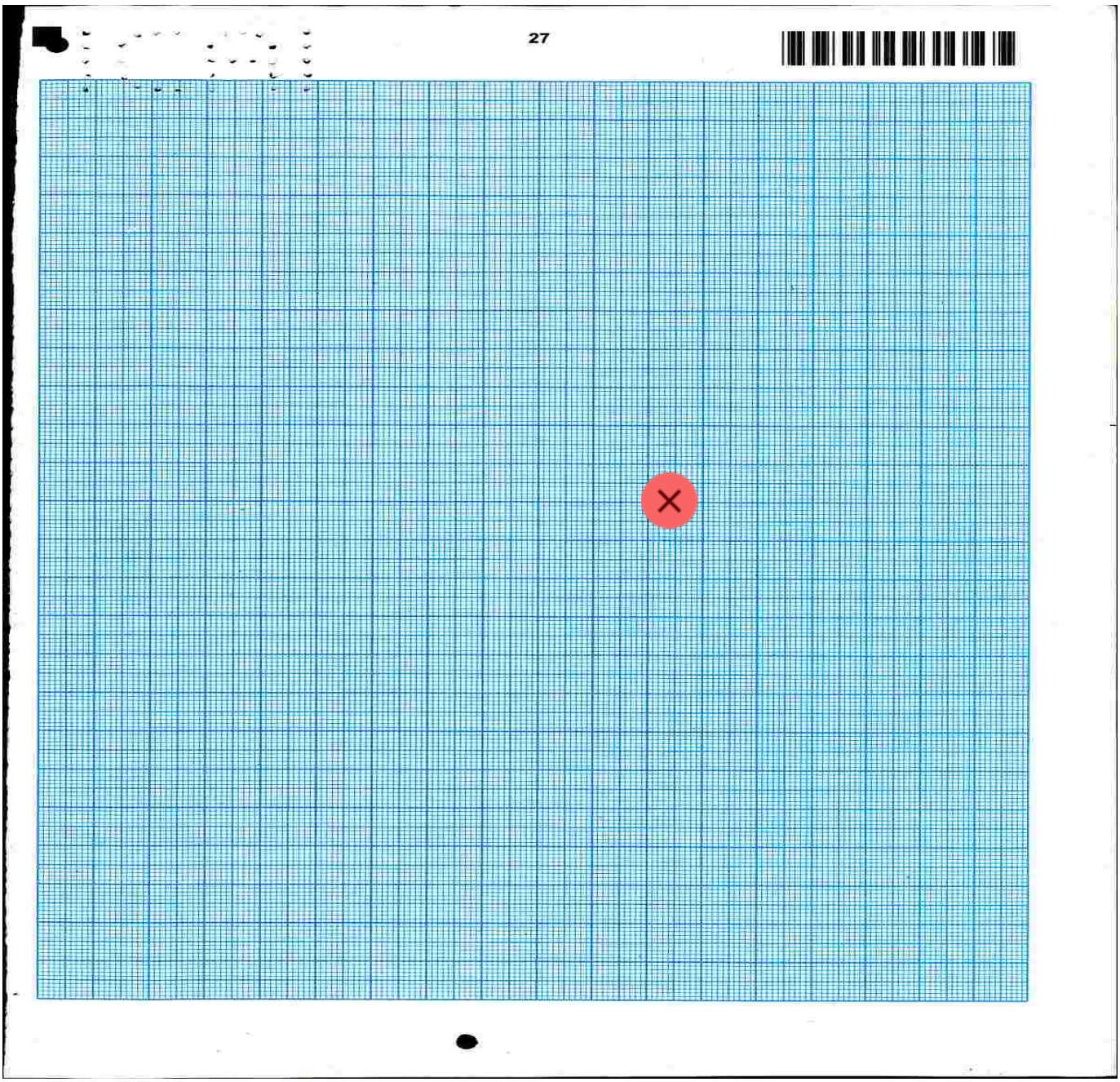
→ Auditor shall discuss it with the management about the reasons for refusal of the same & evaluate whether the refusal is reasonable

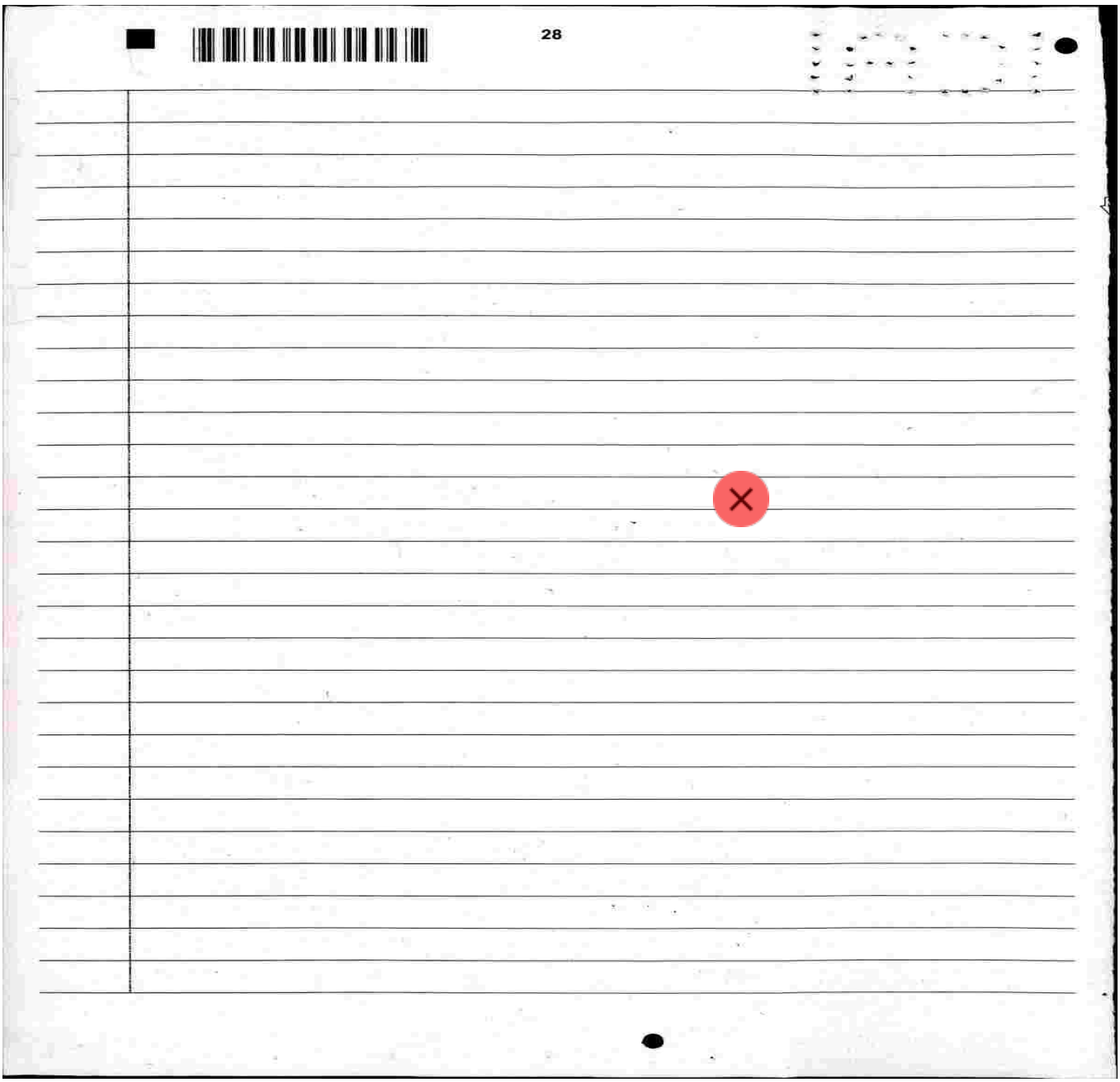
→ Auditor shall perform alternate audit procedures to obtain sufficient & appropriate audit evidence.

→ In case the refusal is unreasonable, the auditor shall communicate to Those charge with Governance about the potential limitation of scope.

→ Auditor shall consider the effect of the same on other audit evidence & risk assessment

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→ The auditor need to consider implications of the same on the auditor's report.

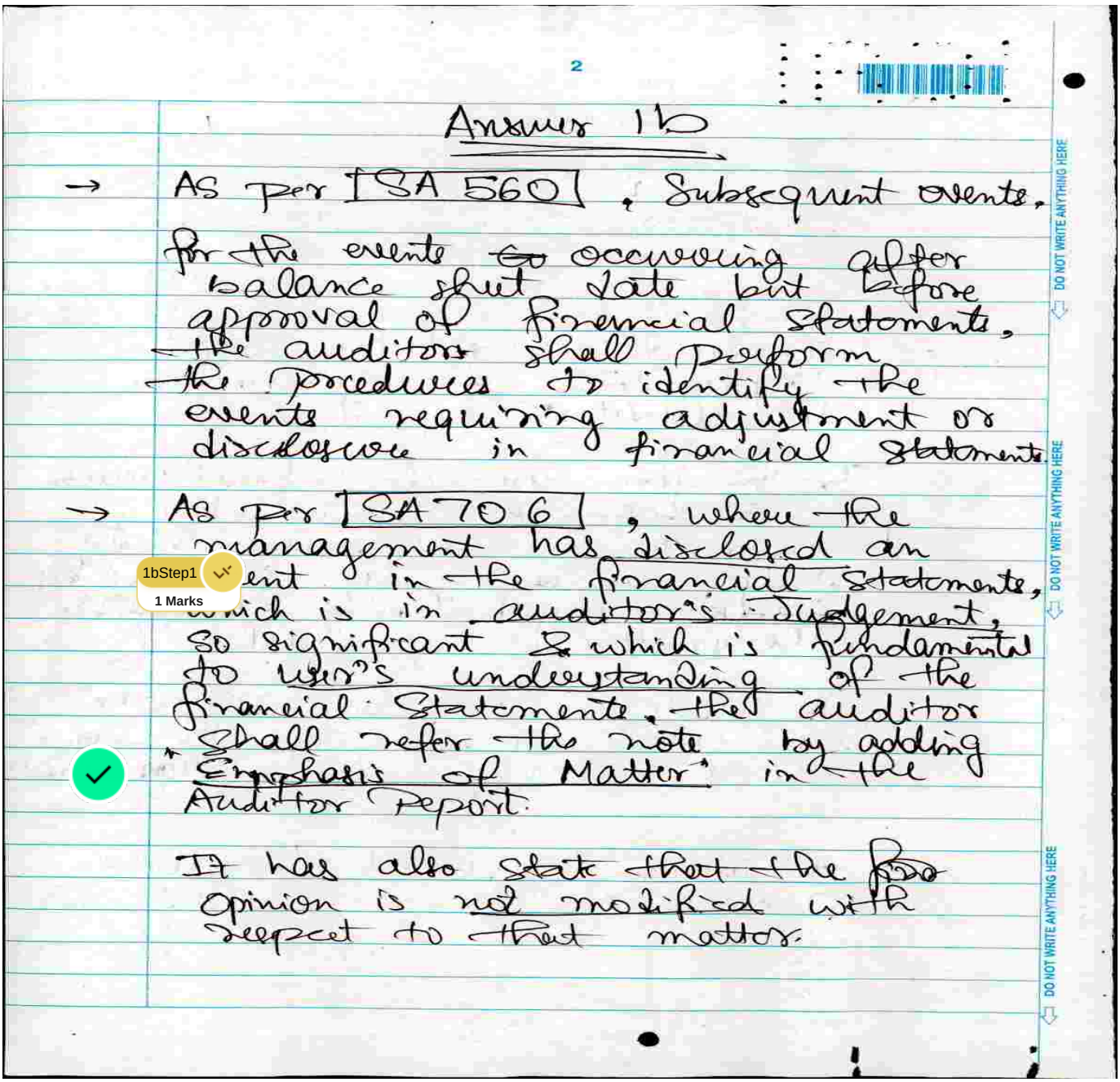
In the given case, the refusal reason is not ~~Conf~~ reasonable, being Confidentiality clause, as the Audit process is also governed by ~~Audit~~ Confidentiality process & the matter is significant.

The auditor can also visit the legal counsel or contact the legal counsel through entity's management

CA Rukma is advised the above procedures as per SA's.

1aStep4 ✗ 0 Marks

1a ✗ 3 Marks



2

Answer 1b

→ As per [SA 560], Subsequent events,

for the events occurring after balance sheet date but before approval of financial statements, the auditors shall perform the procedures to identify the events requiring adjustment or disclosure in financial statements.

→ As per [SA 706], where the management has disclosed an ent in the financial statements, which is in auditor's Judgement, so significant & which is fundamental to user's understanding of the financial statements, the auditor shall refer the note by adding "Emphasis of Matter" in the Auditor Report.

1bStep1
1 Marks

It has also state that the opinion is not modified with respect to that matter.

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→ In the given case, the auditor obtained evidence that the disclosure is appropriate & fundamental to user's understanding.

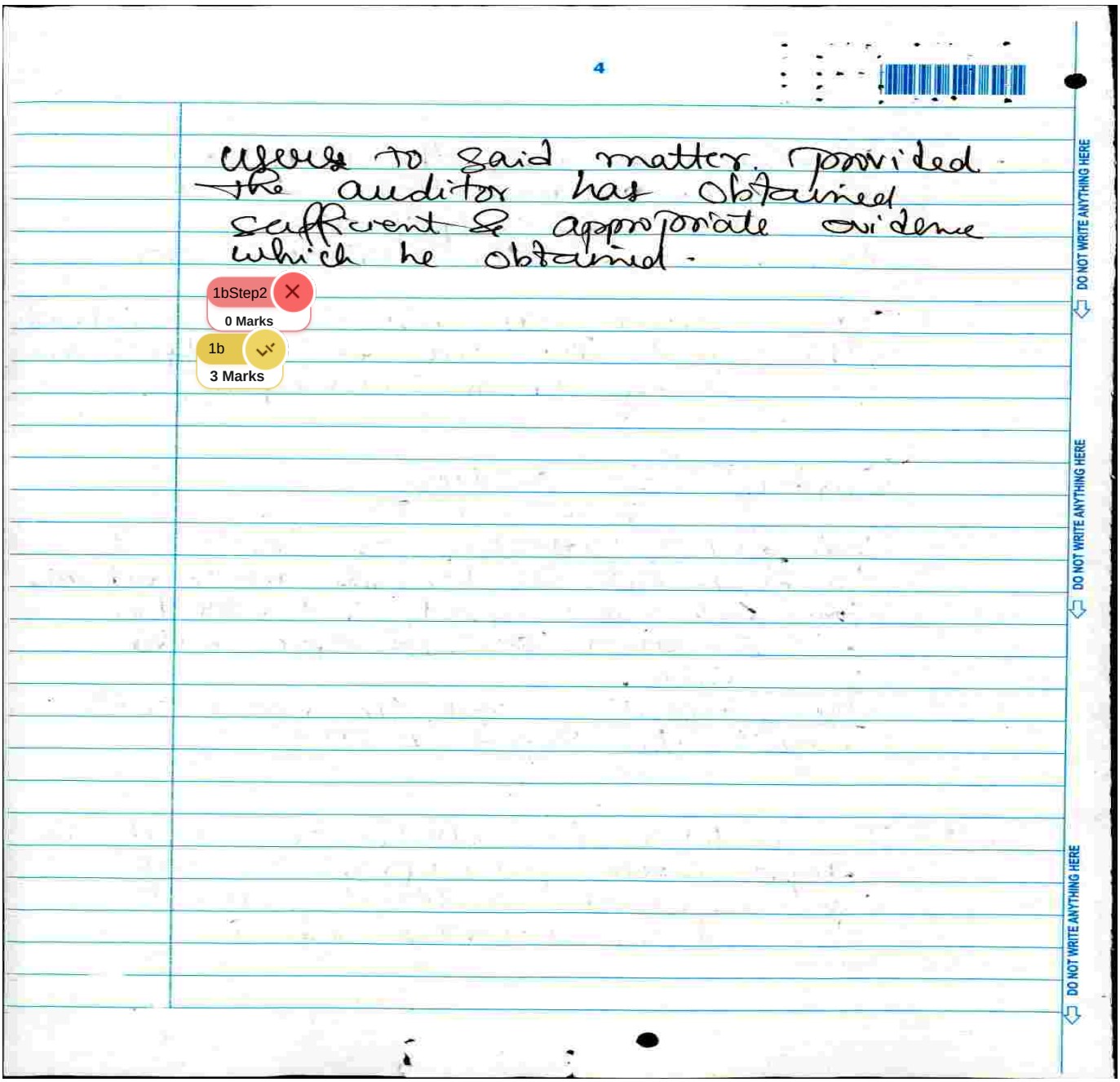
The auditor has also confirmed that the event has no bend effect on the "Going concern" assumption.

"Emphasis of Matter"

We draw attention to "Note 28" to financial statements which explains the financial impact & the status of an event occured after balance sheet date.
Our report is not modified with respect to said matter.

1bStep3
2 Marks

→ The auditor is advised to add the appo above paragraph in the Independent Auditor's report to draw attention of the



4

views to said matter. Provided the auditor has obtained sufficient & appropriate evidence which he obtained.

1bStep2 ✗
0 Marks

1b ✓
3 Marks

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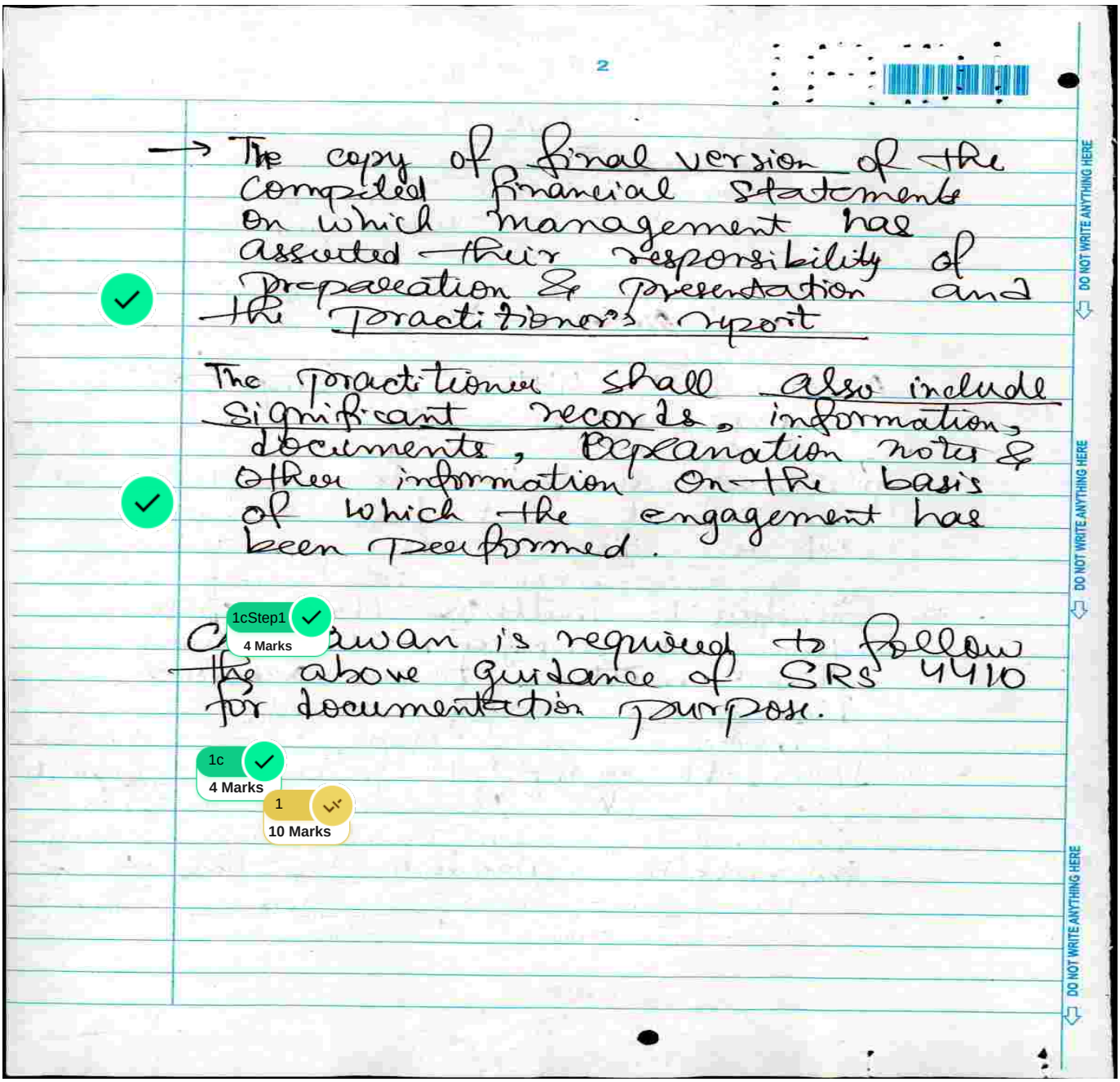
Answer 1C

As per [SRS 4410], Compilation Engagement.

following are the documentation requirements that has to be adhered for the engagement:

→ Significant matters that arose during the engagement & how these matters were resolved during the engagement

→ How the compiled financial statements reconcile the underlying records, documents, explanations & other information provided to the team.



2

→ The copy of final version of the compiled financial statements on which management has asserted their responsibility of Preparation & Presentation and the Practitioner's report

The practitioner shall also include significant records, information, documents, explanation notes & other information on the basis of which the engagement has been performed.

1cStep1 4 Marks

Ca[illegible]wan is required to follow the above guidance of SRS 4410 for documentation purpose.

1c 4 Marks

1 10 Marks

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## Answer Q a

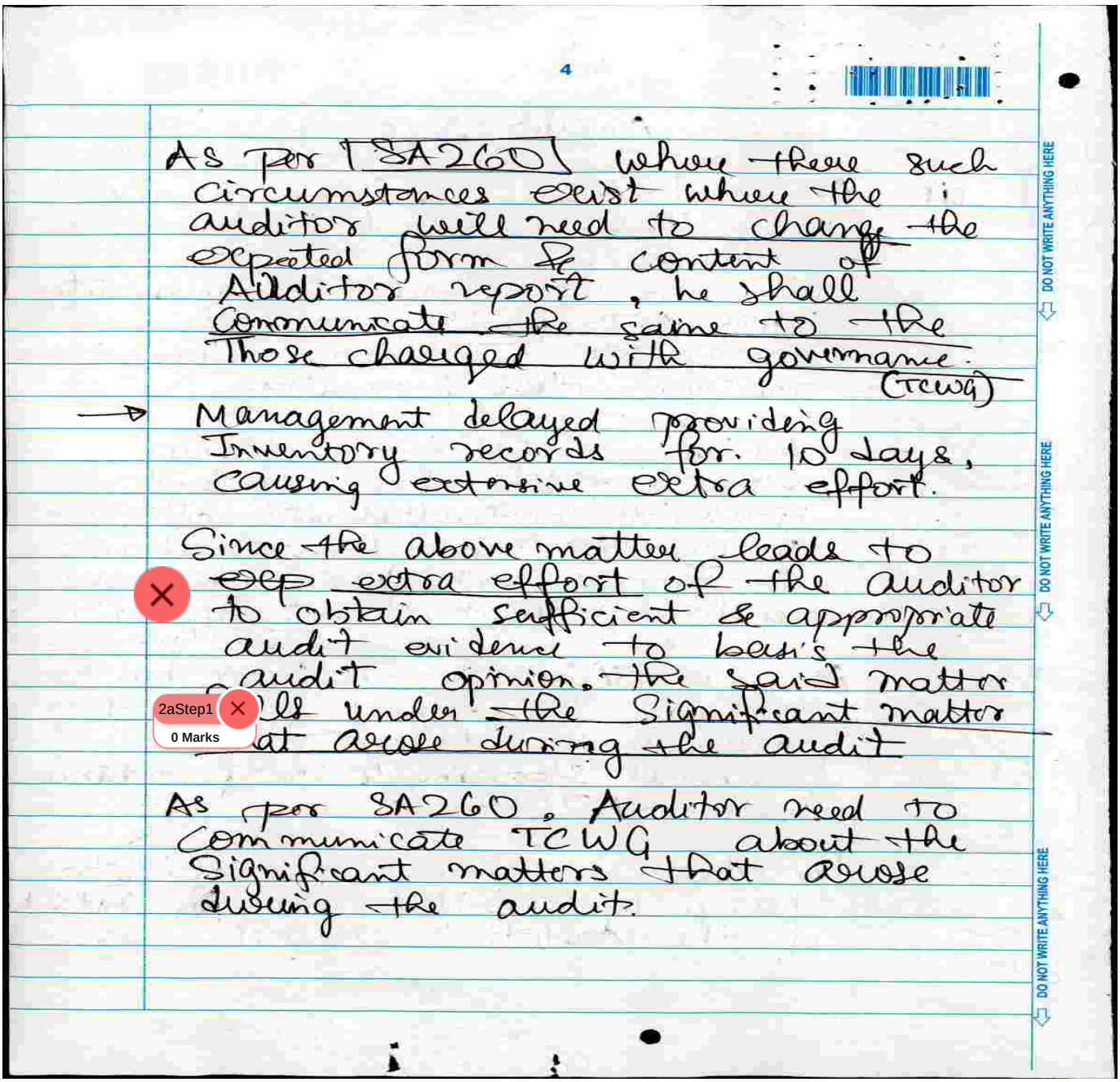
(i) As per [SA 260], Communication with Those charged with Governance, the auditor shall communicate Significant findings of the engagement with the Those Charge with governance

→ Management used an out dated discount rate which leade to ₹2 cr understatement of recoverable Amt / overstatement of Impairment loss, which the auditor's view is not appropriate

As per SA's, the auditor has to evaluate the impact of said material misstatement on the financial statements in accordance with SA 705.

The above matter will lead to change in expected form & content of the Auditor's report

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4

As per [SA260] where there such circumstances exist where the auditor will need to change the expected form & content of Auditor report, he shall Communicate the same to the Those charged with governance. (TCWG)

→ Management delayed providing Inventory records for 10 days, causing extensive extra effort.

Since the above matter leads to dep extra effort of the auditor to obtain sufficient & appropriate audit evidence to basis the audit opinion. the said matter falls under the Significant matter that arose during the audit

2aStep1 ✗
0 Marks

As per SA260, Auditor need to Communicate TCWG about the Significant matters that arose during the audit.

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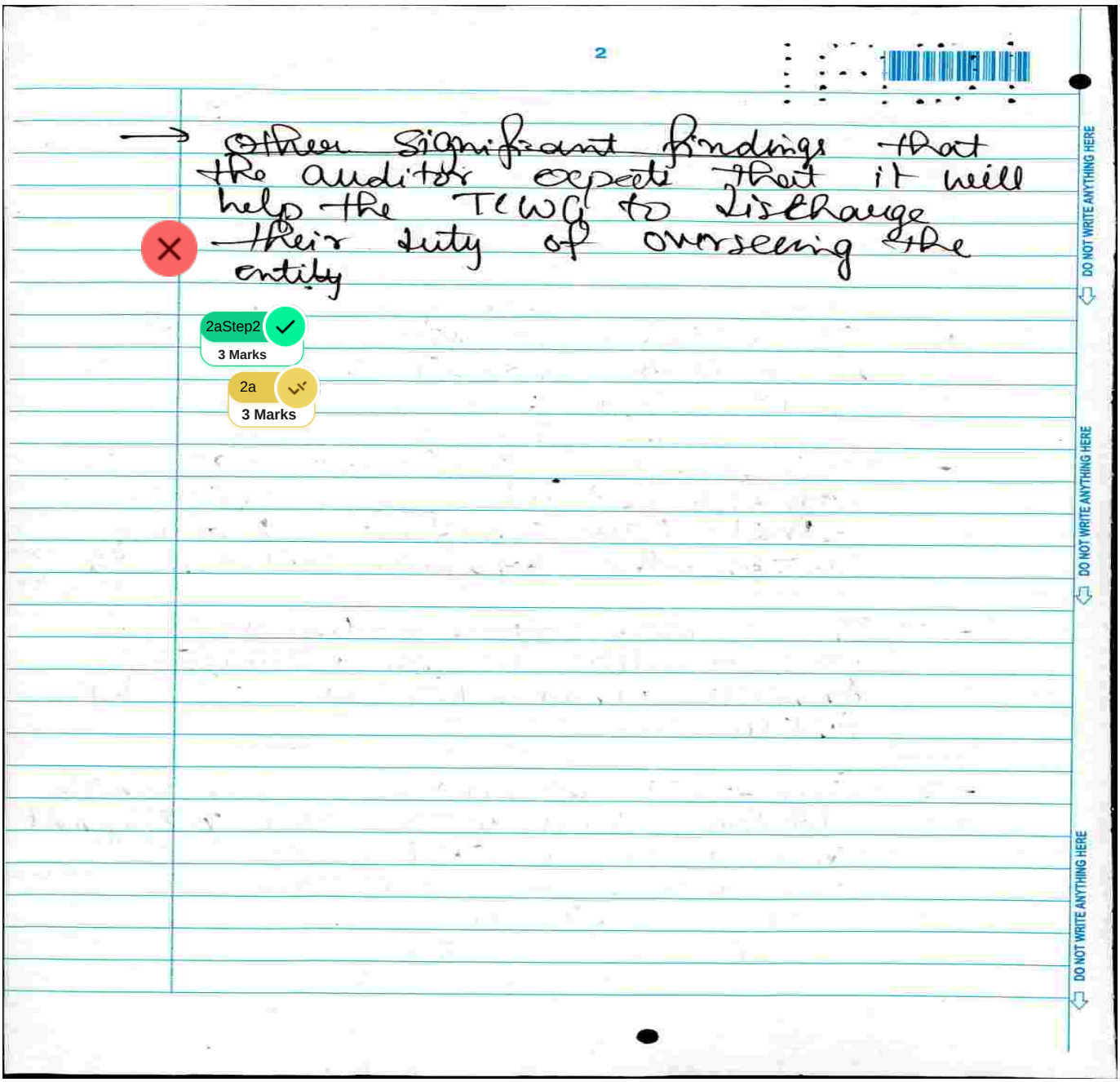
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(ii) Other Significant findings that an auditor should communicate to TCWG :

→ Significant Qualitative aspects of the accounting Policies that have significant bearing on the financial statements.

→ The written representations that auditors are requested from the management of the entity

→ Significant discussion areas which auditor had with the management, in case where TCWG is not involved in the managing the entity & the same matters are not communicated earlier



2

→ Other significant findings that the auditor expects that it will help the TCWG to discharge their duty of overseeing the entity

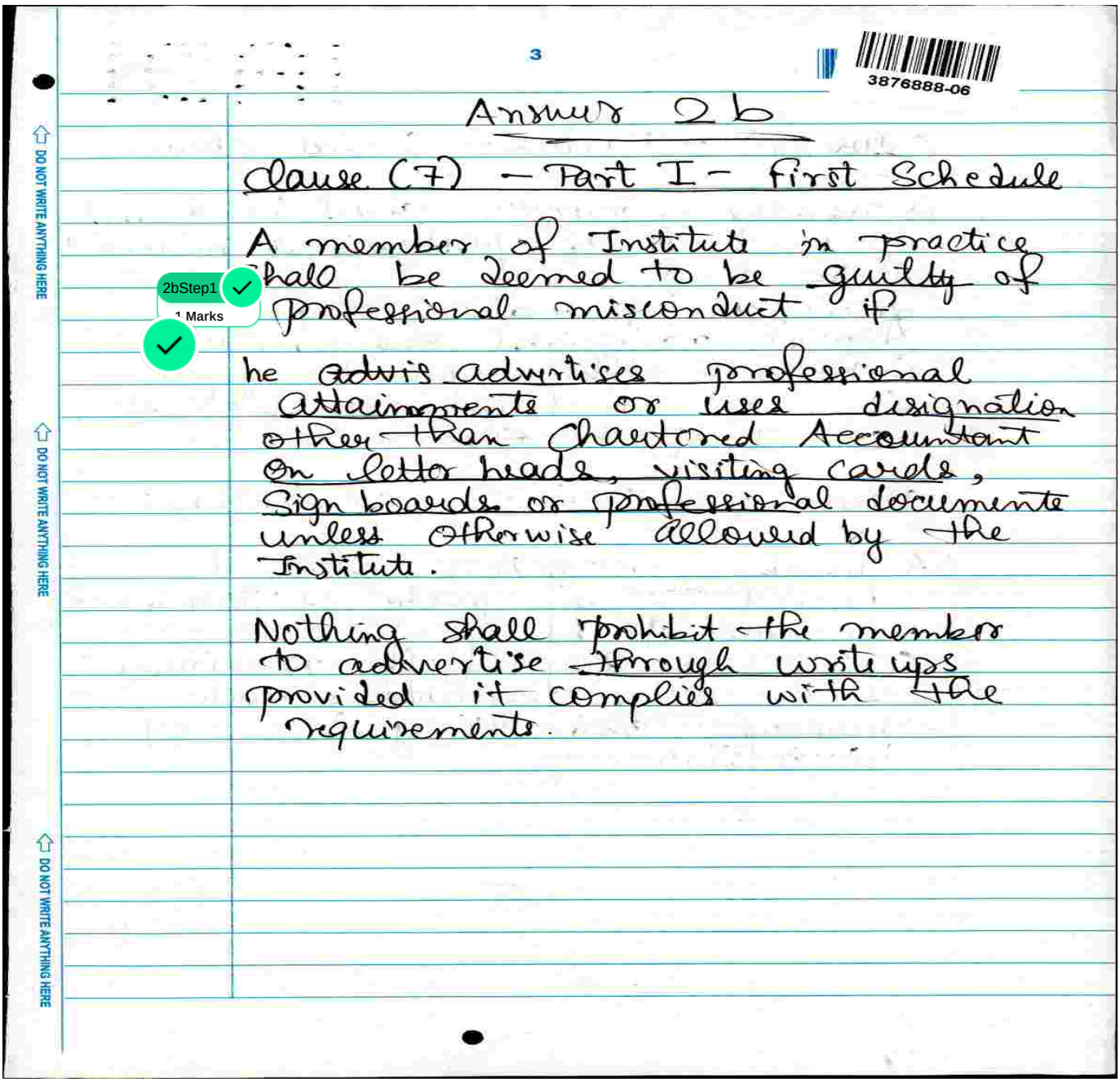
2aStep2 ✓
3 Marks

2a ✓
3 Marks

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2bStep1

1 Marks

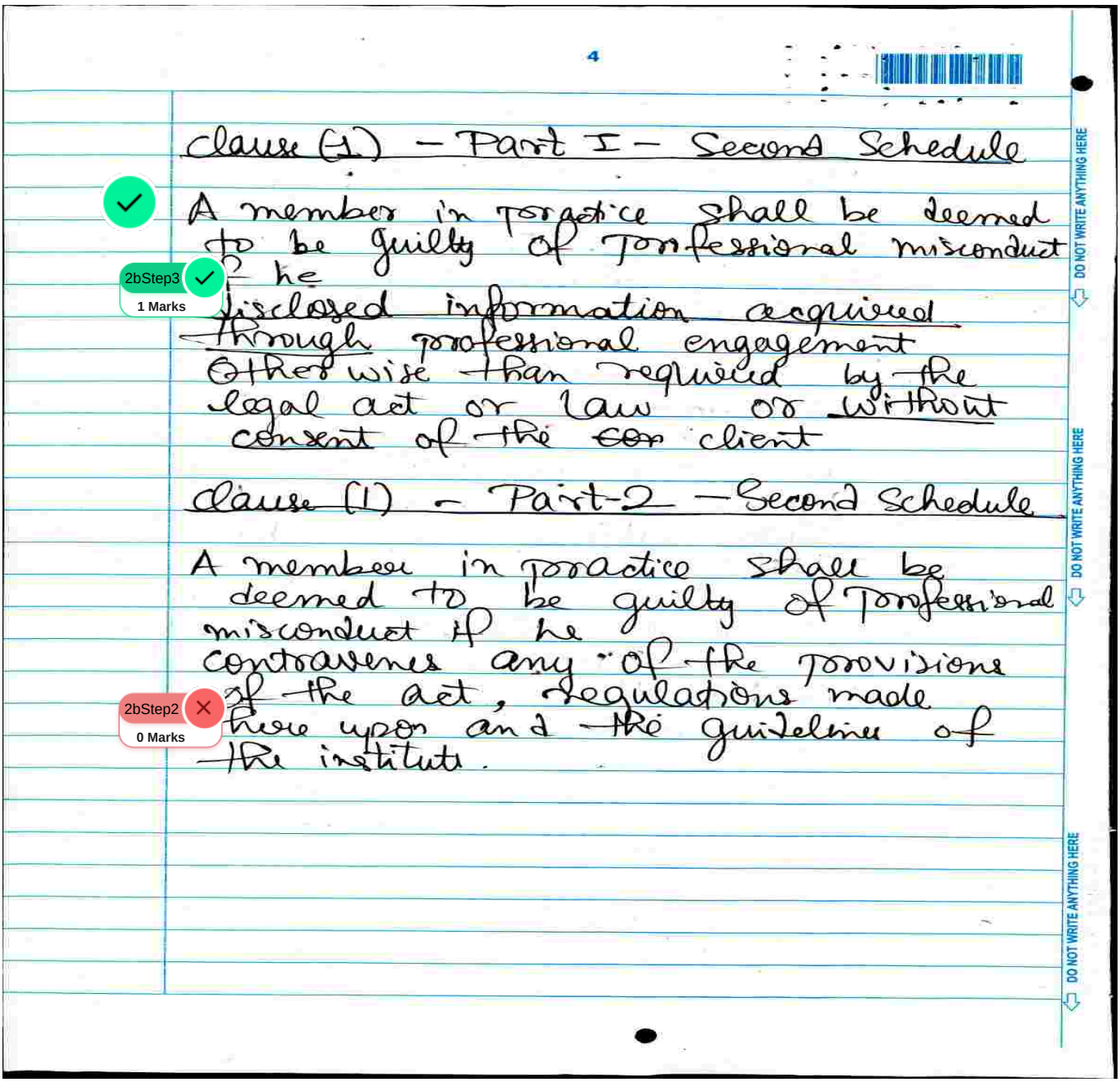
Answer 2b

Clause (7) – Part I – First Schedule

A member of Institute in practice shall be deemed to be guilty of professional misconduct if

he advis advertises professional attainments or uses designation other than Chartered Accountant on letter heads, visiting cards, Sign boards or professional documents unless otherwise allowed by the Institute.

Nothing shall prohibit the member to advertise through write ups provided it complies with the requirements.



4

Clause (1) – Part I – Second Schedule

A member in practice shall be deemed to be guilty of Professional misconduct if he

disclosed information acquired through professional engagement otherwise than required by the legal act or law or without consent of the ~~or~~ client

2bStep3 ✓ 1 Marks

Clause (1) – Part-2 – Second Schedule

A member in practice shall be deemed to be guilty of Professional misconduct if he contravenes any of the provisions of the act, Regulations made there upon and the guidelines of the institute.

2bStep2 ✗ 0 Marks

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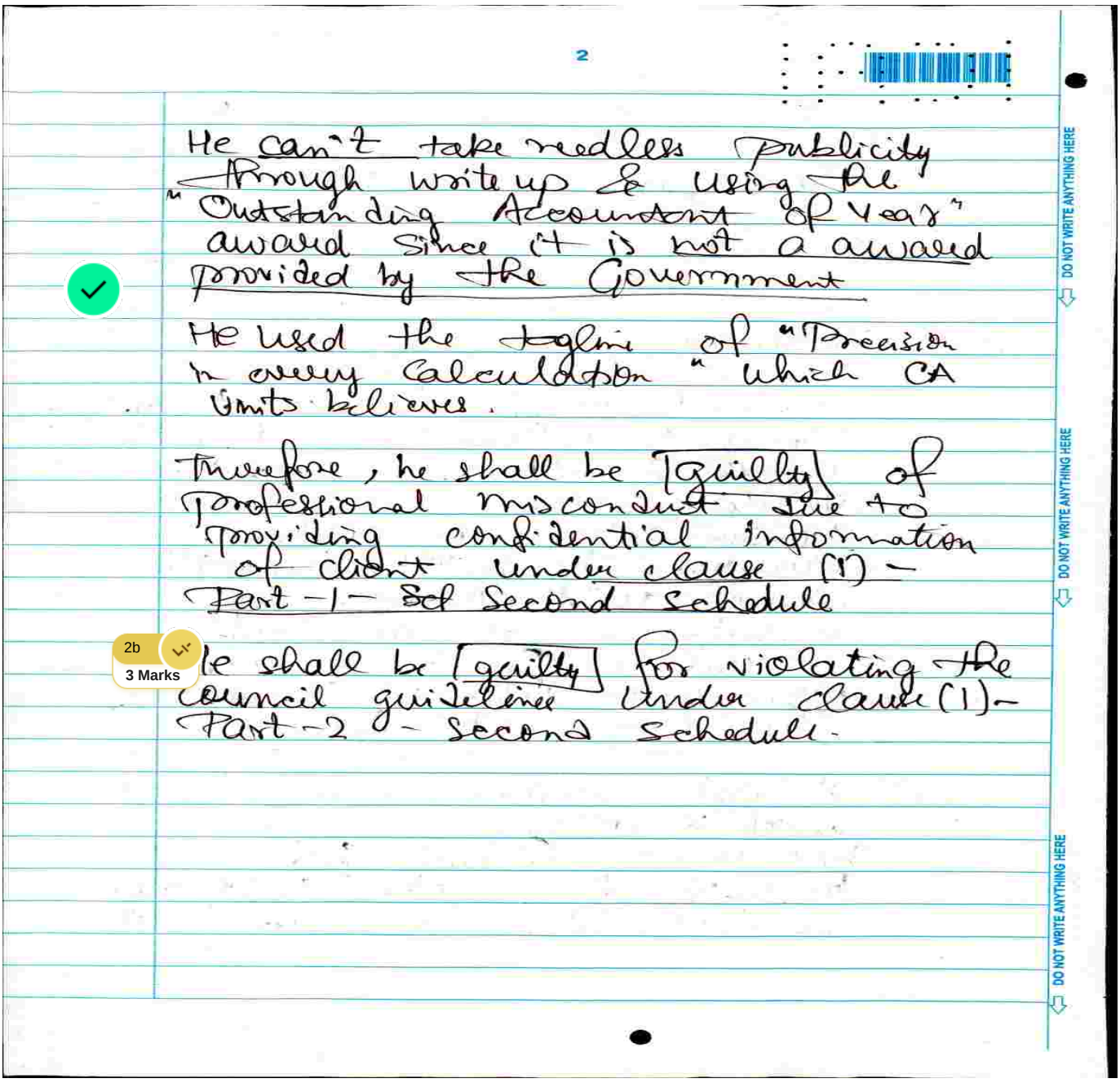
In the given case,

(i) CA Vinit, practising CA designates himself as "AI Professional" in visiting cards & letter heads after attending courses.
CA can attend any courses.
However, he can't designate himself as "AI Professional" in his visiting cards & letter heads.
He will be [Guilty] of Professional misconduct under Clause 7 of Part 1 of First Schedule.

2bStep4 ✓ 1 Marks

(ii) CA Vinit advertises through write up. which is allowed.
But as per Council Guidelines, he can't disclose the client name & data to show case expertise.

2bStep5 ✗ 0 Marks



2

He can't take needless publicity through write up & using the "Outstanding Accountant of Year" award since it is not a award provided by the Government

He used the tagline of "Precision in every Calculation" which CA Umts believes.

Therefore, he shall be [guilty] of professional misconduct due to providing confidential information of client under clause (7) - Part - I - 8th Second schedule

2b 3 Marks

He shall be [guilty] for violating the council guideline under clause (1) - Part - 2 - Second schedule.

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## Answer 2c

The key aspects that CA Harsh would evaluate in identifying the entity's Risk Assessment process :

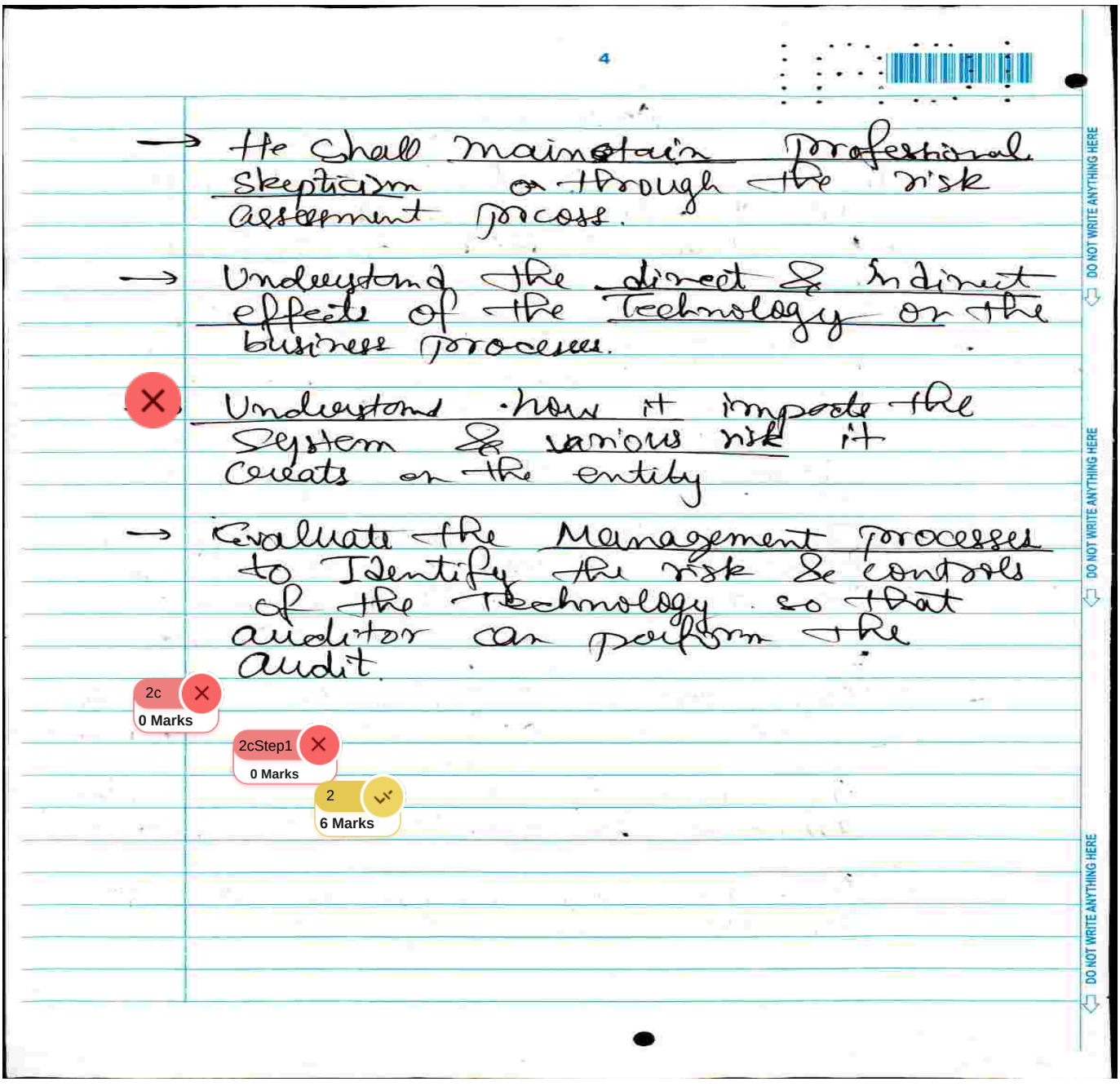
→ Understand the Technology used by the management in the business process & understand the effects of the same on the process.

→ Evaluate how the risk differs from the earlier process of the entity & how management has considered the same.

→ Where there is need to upskill the Audit team so that the process or the Technology can be evaluated for the effects on the audit process & the entity process.

→ Auditor may engage an expert for the same.

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→ He shall maintain professional skepticism throughout the risk assessment process.

→ Understand the direct & indirect effects of the Technology on the business processes.

✗ Understand how it impacts the system & various risk it creats on the entity

→ Evaluate the Management processes to Identify the risk & controls of the Technology so that auditor can perform the audit.

2c ✗ 0 Marks

2cStep1 ✗ 0 Marks

2 ✓ 6 Marks

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# The Institute of Chartered Accountants of India

**Code:** FN3AP876888 **Total Marks:** 70
**Subject :** 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 50

## Result Overview

| Awarded Marks:50 | Max Marks:70 |
|---|---|

| Not Attempted | Optional | M Marked |
|---|---|---|

**Q1_Compulsory (Score: 10/14 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 1 | 10 | 14 | M |
| 1a | 3 | 5 | M |
| 1b | 3 | 5 | M |
| 1c | 4 | 4 | M |

**Q2_Q6 (Score: 40/56 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 2 | 6 | 14 | M |
| 2a | 3 | 5 | M |
| 2b | 3 | 5 | M |
| 2c | 0 | 4 | M |
| 3 | 0 | 14 | |
| 3a | 0 | 5 | |

| | | | |
|---|---|---|---|
| 3b | 0 | 5 | ♈ |
| 3c | 0 | 4 | ♈ |
| 4 | 13 | 14 | M |
| 4a | 4 | 5 | M |
| 4b | 5 | 5 | M |
| 4c | 4 | 4 | M |
| 5 | 10 | 14 | M |
| 5a | 3 | 5 | M |
| 5b | 5 | 5 | M |
| 5c | 2 | 4 | M |
| 6 | 11 | 14 | M |
| 6a | 5 | 5 | M |
| 6b | 2 | 5 | M |
| 6c | 4 | 4 | M |